SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA

Department 12
Honorable Nahal Iravani-Sani, Presiding

Courtroom Clerk, Ryan Nguyen
191 North First Street, San Jose, CA 95113
Telephone: (408) 882-2230

DATE: 08/14/2026 TIME: 9:00 A.M. and 9:01 A.M.

LINE 1	26CV489443	Athelas Inc. v. Ashraf Medical Group	MOTION TO WITHDRAW AS ATTORNEY Good cause appearing, the unopposed motion is GRANTED. Yuri Voronin, Wade Litigation APC is relieved as counsel for Defendant Ashraf Medical Group, PLLC. Plaintiff's requested protective conditions are GRANTED. Within 7 days of the hearing, Movant shall file a new proposed final order, including the protective conditions, and that Defendant must appear at the Further Case Management Conference set for December 2, 2026 at 10:00 a.m. in Department 12.
LINE 2	24CV431871	Pedro Gatica Ortiz v. Roselia Tinoco Patino	ORDER OF EXAMINATION

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Calendar Line 1
Calendar line 1
Case Name: *Advoque Safeguard, LLC et al. v. Sanctuary Systems, LLC et al*
Case No.: 21CV392455

Defendant American Melt Blown & Filtration, Inc.'s motion for summary judgment, or in the alternative, summary adjudication.

Alleged Facts[1]

Plaintiffs Advoque Safeguard ("ASG") and Ciasom LLC ("Ciasom", collectively with ASG, "Plaintiffs") manufactured N95 respirators during the COVID-19 pandemic and sued various entities and individuals that were involved in supplying Plaintiffs with mask filtration materials. These entities and individuals include, among others, defendant American Melt Blown & Filtration, Inc. ("AMBF").

The first amended complaint ("FAC") alleges the following causes of action against Defendant: (1) negligence; (2) conversion; (3) intentional interference with contractual relations; (4) intentional interference with prospective economic relations; (5) negligent interference with prospective economic relations; (6) conspiracy; and (7) unfair business practices. Specifically, the FAC alleges AMBF wrongfully took possession of at least $850,000 in cash deposits and at least $3.2 million worth of nonconforming materials, which rightfully belong to Plaintiffs. (FAC, ¶ 32.) AMBF received cash deposits to manufacture materials that would be used in Plaintiffs' N95 respirators but have not returned the money materials to Plaintiffs despite knowing they belonged to Plaintiffs and Plaintiffs' repeated requests. (*Ibid.*) AMBF had a duty to maintain the monies and materials in a non-negligent manner, but through a transaction with co-defendant Sanctuary Systems, LLC ("Sanctuary"), intended to strip Plaintiffs of the property they were entitled to. (*Id.* at ¶ 54.)

On May 19, 2026, AMBF filed the instant motion for summary judgment, or in the alternative, summary adjudication. On May 28, 2026, this court granted AMBG's *ex parte* application to advance the hearing from January 15, 2027 to August 14, 2026. Plaintiffs filed a timely opposition, and AMBF filed a timely reply.

Motion for Summary Judgment, or in the Alternative, Summary Adjudication

Legal Standard

Any party may move for summary judgment. (Code Civ. Proc., § 437c, subd. (a); *Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 843 (*Aguilar*).) The motion "shall be granted if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law." (Code Civ. Proc., § 437c, subd. (c); *Aguilar, supra,* 25 Cal.4th at p. 843.) The object of the summary judgment procedure is "to cut through the parties' pleadings" to determine whether trial is necessary to resolve the dispute. (*Aguilar, supra,* 25 Cal.4th at p. 843.) Similarly, "[a] party may seek summary adjudication on whether a cause of action, affirmative defense, or punitive damages claim has merit or whether a defendant owed a duty to a plaintiff. [Citation.] 'A motion for summary adjudication…shall proceed in all procedural respects as a motion for summary

[1] The court, on its own motion, takes judicial notice of the record in this action. (Evid. Code, § 452, subd. (d).)

judgment.' [Citation.]" (*California Bank & Trust v. Lawlor* (2013) 222 Cal.App.4th 625, 630 (*California Bank*).)

"A defendant seeking summary judgment must show that at least one element of the plaintiff's cause of action cannot be established, or that there is a complete defense to the cause of action…The burden then shifts to the plaintiff to show there is a triable issue of material fact on that issue." (*Alex R. Thomas & Co. v. Mutual Service Casualty Ins. Co.* (2002) 98 Cal.App.4th 66, 72; internal citations omitted.) A triable issue of material fact exists "if, and only if, the evidence would allow a reasonable trier of fact to find the underlying fact in favor of the party opposing the motion in accordance with the applicable standard of proof." (*Aguilar, supra,* 25 Cal.4th at p. 850, fn. omitted.) If the party opposing summary judgment presents evidence demonstrating the existence of a disputed material fact, the motion must be denied. (*Id.* at p. 856.)

A motion for adjudication shall be granted only if it completely disposes of an entire cause of action, an affirmative defense, a claim for damages, or an "issue of duty." (See Code Civ. Proc., § 437c, subd. (f)(1); *McClasky v. California State Auto. Ass'n* (2010) 189 Cal.App.4th 947, 975 [*"*If a cause of action is not shown to be barred in its entirety, no order for summary judgment—or adjudication—can be entered."].)

Request for Judicial Notice

AMBF's request for judicial notice of the FAC and AMBF's answer to the FAC is GRANTED. (Evid. Code, § 452, subd. (d).)

Evidentiary Objections

AMBF submitted evidentiary objections to the Declaration of Jason Azevedo, the deposition transcript of Sanctuary's PMQ, and an email exchange between Stephen Sharpe, Bryan Sigler, Buddy Barnes, and Harry Barnes. The court need not rule on the objections, which are preserved, because they are not material to the disposition of the motion. (Code Civ. Proc., § 437c, subd. (q).)

Discussion

In moving for summary judgment, AMBF asserts the following: (1) Plaintiffs' negligence, negligent interference with prospective economic relations, and conversion claims are barred by the economic loss rule; (2) Plaintiffs' conversion claim fails because Plaintiffs were not entitled to immediate possession of a sum certain; (3) Plaintiffs' intentional interference with contractual relations, intentional interference with prospective economic relations, and negligent interference with prospective economic relations claims fail because Plaintiffs cannot establish knowledge, causation, or independently wrongful conduct; (4) Plaintiffs' conspiracy claim fails because Plaintiffs have no evidence to support the claim; and (5) Plaintiffs' Unfair Business Practices claim fails because Plaintiffs have no evidence to support the claim. (Notice of Motion, p. 2:15-26.)

The Economic Loss Rule

The economic loss rule provides no recovery in tort for negligently inflicted "economic losses." (*Southern California Gas Leak Cases* (2019) 7 Cal.5th 391, 400.) The economic loss rule arises in various contexts, such as barring "claims in negligence for pure economic losses in deference to a contract between litigating parties." (*Sheen v. Wells Fargo Bank, N.A.,* (2022) 12 Cal.5th 905, 922.) However, "[w]here a special relationship exists between parties, a plaintiff may recover for loss of expected economic advantage through the negligent performance of a contract although the parties were not in contractual privity." (*J'aire Corp. v. Gregory* (1979) 24 Cal.3d 799, 804.)

It is undisputed that Plaintiffs do not allege any physical injury or property damage, only economic losses. (AMBF's Undisputed Material Facts ["UMF"], No. 16.) It is also undisputed that AMBF entered into contracts only with co-defendant Sanctuary—*i.e.*, Plaintiffs and AMBF did not have a contractual relationship. (UMF, No. 5.)

AMBF's assertion that the economic loss rule bars the conversion claim is unpersuasive as it solely relies on *Fine v. Kansas City Life Insurance Company* (C.D. Cal. 2022) 627 F.Supp.3d 1153, 1161 (*Fine*) which observed, "Whether the economic loss rule bars a conversion claim turns on 'whether the ownership interest that formed the basis for the conversion claim preexisted the contract or arises from the contract. Where the interest preexisted the contract, a conversion claim will lie.'" *Fine* is distinguishable because the parties there were in contractual privity with each other. (*Id.* at p. 1157.) Here, Plaintiffs and AMBF indisputably lack contractual privity; Plaintiffs' conversion claim does not arise from contract a between Plaintiffs and AMBF. AMBF provides no authority supporting the assertion that the economic loss rule bars a conversion claim arising from *any* contract—including one that AMBF is a stranger to. (See *Benach v. County of Los Angeles* (2007) 149 Cal.App.4th 836, 852 (*Benach*) ["When [a party] fails to raise a point, or asserts it but fails to support it with reasoned argument and citations to authority, we treat the point as waived."]; see also *Baggett v. Hewlett-Packard Co.*, 2009 U.S.Dist.LEXIS 95241, at *4 [economic loss rule barring conversion claim by purchaser against seller because claim arose "solely out of *their* contract and commercial transaction"].)

AMBF's argument that the economic loss rule bars the negligence and negligent interference of prospective economic relations claims, on the other hand, is well taken. The parties are not in contractual privity, and the FAC does not allege a special relationship that would permit Plaintiffs to recover economic losses for AMBF's negligence performance of its contract with Sanctuary. Plaintiffs appear to concede this argument as they do not address this point in the opposition and thus fail to raise any triable issue of material fact. (See *Sehulster Tunnels/Pre-Con v. Traylor Brothers, Inc./Obayashi Corp.* (2003) 111 Cal.App.4th 1328, 1345, fn. 16 (*Sehulster*) [failure to address point is equivalent to a concession].)

Because the economic loss rule serves as a bar, the court GRANTS AMBF's motion for summary adjudication of the negligence and negligent interference with prospective economic relations claims.

Conversion

AMBF moves for summary adjudication of the conversion claim on the grounds that: (1) Plaintiffs cannot establish entitlement to immediate possession; and (2) Plaintiffs fail to allege or prove a sum certain.

The tort of conversion is comprised of three elements: (1) plaintiff's ownership or right to possession of the property; (2) defendant's disposition of the property in a manner inconsistent with plaintiff's property rights; and (3) damages. (*Voris v. Lampert* (2019) 7 Cal.5th 1141, 1150 (*Voris*).) A party must also allege it is entitled to immediate possession at the time of conversion. (*Farmers Ins. Exchange v. Zerin* (1997) 53 Cal.App.4th 445, 452.) A contractual right of payment alone is insufficient. (*Ibid*.) Actions for the conversion of money require a specific, identifiable sum. (*PCO, Inc. v. Christensen, Miller, Fink, Jacobs, Glaser, Weil & Shapiro, LLP* (2007) 150 Cal.App.4th 384, 396 (*PCO*).)

AMBF argues that Plaintiff cannot establish entitlement to immediate possession of the money because Plaintiffs' voluntarily (and indirectly) paid for AMBF's materials. AMBF characterizes Plaintiff's payment as a buyer-seller transaction, for which the appropriate remedy would be based in contract. AMBF cites *Voris* in support. *Voris* concerned an employee who sought to hold his employer personally liable for unpaid wages under a theory of conversion. (*Voris, supra,* 7 Cal.5th at p. 1144.) The Court first noted that "the simple failure to pay money owed" does not support a claim for conversion, because to hold otherwise would "swallow the significant category of contract claims" based on nonpayment. (*Id.* at p. 1151.) The Court observed, "cases recognizing claims for the conversion of money 'typically involve those who have misappropriated, commingled, or misapplied specific funds held for the benefit of others.' " (*Id.* at p. 1152 [quoting *PCO, supra,* 150 Cal.App.4th at p. 396].) Thus, the employee's claim did not allege the employer's "wrongfully exercised dominion over a specifically identifiable pot of money that already belongs to the employee" (*i.e.*, a conversion claim), but merely "that the employer failed to reach into its own funds to satisfy its debt." (*Voris, supra,* 7 Cal.5th at pp. 1152-1153.) The Court concluded, "a claim for unpaid wages simply seeks the satisfaction of a monetary claim against the employer, without regard to the provenance of the monies at issue." (*Id.* at p. 1156.) Given the rationale of *Voris*, AMBF disclaims any obligation to reach into its own funds to satisfy Plaintiffs' claimed debt. It is undisputed that Plaintiffs voluntarily deposited the money with *Sanctuary* and that those funds were intended for AMBF. (UMF, No. 30.) Plaintiffs have not established that *AMBF*—not Sanctuary—now holds "a specifically identifiable pot of money" that belongs to Plaintiffs.

In opposition, Plaintiffs produce no evidence demonstrating that AMBF failed to return money that was "earmarked for a specific person before being misappropriated." (*Voris, supra,* 7 Cal.5th at p. 1156.) Instead, Plaintiffs cite cases such as *Aljabban v. Fontana Indoor Swap Meet, Inc.* (2020) 54 Cal.App.5th 482 (*Aljabban*) for the proposition that the failure to return a refundable cash deposit supports a conversion cause of action. But, these cases are unhelpful. For example, in *Alijabban,* the court entered judgment in favor of hair salon owners against an indoor swap meet for failing to return $680 of the security deposit because the agreement did not permit the swap meet to use the deposit to repair damages to the premises. (*Id.* at p. 506.) Plaintiffs' citation to *Aljabban*, is unhelpful. As noted above, it is undisputed that the money was deposited with *Sanctuary*, not AMBF. Sanctuary alone had the obligation to hold the money for the benefit of Plaintiffs. Furthermore, Plaintiffs stated in discovery that Plaintiffs and Sanctuary agreed that the money Plaintiffs deposited with Sanctuary would go to AMBF, and that Sanctuary represented the money had gone to AMBF. (AMBF's Index of Exhibits, Ex. 16, p. 5:1-5.) Plaintiffs provide no authority or evidence supporting their proposition that AMBF is liable for a purportedly refundable deposit that was given to Sanctuary. (See *Benach, supra,* 149 Cal.App.4th at p. 852.) Plaintiffs have not demonstrated a triable issue of material fact on their conversion claim.

Because Plaintiffs fail to demonstrate a triable issue of material fact on their entitlement to immediate possession of the money at issue, the court GRANTS AMBF's motion for summary adjudication of the conversion cause of action. The court declines to reach AMBF's remaining argument that Plaintiffs have not pled and cannot prove a sum certain.

Intentional Interference with Contractual and Prospective Economic Relations

AMBF moves for summary adjudication of Plaintiffs' intentional interference with contractual relations and intentional interference with prospective economic relations causes of action on the grounds that Plaintiffs cannot demonstrate knowledge, causation, or independently wrongful conduct.

To state a cause of action for intentional interference with contractual relations, a plaintiff must plead and prove a valid contract between plaintiff and a third party, and the defendant's knowledge of the contract. (*Pacific Gas & Electric Co. v. Bear Stearns & Co.* (1990) 50 Cal.3d 1118, 1126.) Similarly, an intentional interference with prospective economic relations cause of action requires the plaintiff to plead and prove an economic relationship between the plaintiff and a third party "with the probability of future economic benefit to the plaintiff", and defendant's knowledge of that relationship. (*Reeves v. Hanlon* (2004) 33 Cal.4th 1140, 1152, fn. 6.)

Here, AMBF contends that Plaintiffs have no evidence of its knowledge of Plaintiffs' contractual or economic relationships with the State of California, GiveMasks/Fine Group, JDM, Bradley Group, ProPlas, the Titus Group, Inc., or Paper 360, Inc. In support, AMBG offers the declaration of its chief executive officer, Frederick Geyer. Geyer plainly attests, "AMBF also had no knowledge of any of the contracts Plaintiffs had with the State of California, GiveMasks/Fine, JDM, Bradley Group, ProPlas, Paper 360, Inc[.], or Titus Group, Inc." (UMF, No. 35.) Geyer further testified at deposition that AMBF did not know who Sanctuary's customer was, or who Plaintiffs were. (UMF, No. 39.)

AMBF also offers Plaintiffs' factually devoid discovery responses. On January 26, 2023, Plaintiffs responded to AMBF's special interrogatories, which required Plaintiffs to state all facts in support of Plaintiffs' contention that AMBF knew of contracts between Plaintiffs and third parties. (UMF, No. 36.) Plaintiffs solely responded, "On information and belief, [AMBF] had business relationship(s) with the other Defendants in this matter and pursuant to said relationship(s), [AMBF] obtained knowledge of [Plaintiffs] and the contracts it intended to fulfill…" (UMF, No. 37.) The record does not reflect that Plaintiffs have since supplemented their discovery responses to provide factual bases beyond their statements made "on information and belief." Accordingly, the court may infer that Plaintiffs cannot provide more evidence on AMBF's knowledge of the contracts or economic relationships. (*Gulf Ins. Co. v. Berger* (2000) 79 Cal.App.4th 114, 134 ["to grant summary judgment, the court must be able to infer from the record that the plaintiff could produce no other evidence on the disputed point."])

AMBF's evidence is sufficient to meet its initial burden, and Plaintiffs waive this point by failing to provide argument or evidence in opposition. (See *Kim v. Sumitomo Bank* (1993) 17 Cal.App.4th 974, 979 ["'This court is not required to discuss or consider points which are not argued or which are not supported by citation to authorities or the record."])

Because Plaintiffs have not demonstrated a triable issue of material fact on AMBF's knowledge of the contractual or economic relationships, the court GRANTS AMBF's motion for summary adjudication of the intentional interference with contractual relations and intentional interference with prospective economic relations causes of action. The court declines to reach the AMBF's remaining arguments concerning causation or independently wrongful conduct.

Conspiracy

AMBF also moves for summary adjudication of Plaintiffs' conspiracy cause of action on the ground that Plaintiffs have no evidence of AMBF's participation in a conspiracy.

The essential elements of a conspiracy claim are: (1) the formation and operation of the conspiracy; (2) wrongful conduct in furtherance of the conspiracy; and (3) damages arising from wrongful conduct. (*AREI II Cases* (2013) 216 Cal.App.4th 1004, 1022.)

AMBF again submits Plaintiffs' factually devoid discovery responses in support. On January 26, 2023, Plaintiffs responded to AMBF's special interrogatories requiring Plaintiffs to state all facts and identify all documents supporting the allegation that AMBF conspired to engage in conversion. Plaintiffs relied on the allegations of the FAC and stated "on information and belief" that agreements existed between the defendants. (UMF, Nos. 54-55.) On April 17, 2025, Plaintiffs later amended their discovery responses to state that all documents have been produced. (UMF, No. 56.)

Plaintiffs cannot rely on the allegations within their FAC to oppose a motion for summary judgment. A plaintiff may not rely on the allegations of its own pleadings to oppose a motion for summary judgment. (*Roman v. BRE Properties, Inc*. (2015) 237 Cal.App.4th 1040, 1054.) And the record does not reflect that Plaintiffs have supplemented their discovery responses or otherwise produced evidence demonstrating an agreement to conspire. Plaintiffs again waive any argument by failing to address this point in their opposition. (*Sehulster, supra,* 111 Cal.App.4th at p. 1345, fn. 16.)

Because Plaintiffs have not demonstrated a triable issue of material fact on AMBF's participation in a conspiracy, the court GRANTS AMBF's motion for summary adjudication of the conspiracy cause of action.

Unfair Business Practices (UCL)

In moving for summary adjudication of Plaintiffs' UCL cause of action, AMBF argues that because the claim is premised on fraud and misrepresentation, and Plaintiffs do not allege these underlying claims against AMBF, summary adjudication is proper. The argument is well taken.

"The UCL covers a wide range of conduct. It embraces [] anything that can properly be called a business practice and that at the same time is forbidden by law. [] [Citations.]" (*Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1143.) The UCL "prohibits 'unfair competition,' which it defines as 'any unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising and any act prohibited by [Section 17500]." (*Hansen v. Newegg.com Americas, Inc.* (2018) 25 Cal.App.5th 714, 722 (*Hansen*) [quoting Bus. & Prof. Code, § 17200].)

The FAC alleges, "Defendants…engaged in conduct likely to deceive general members of the public in how Defendants tested, distributed, manufactured, and sold respirator mask materials. This deception came about through Defendants…misrepresenting and/or making fraudulent statements and promises to [Plaintiffs]." (FAC, ¶ 167.) Thus, the viability of Plaintiffs' UCL cause of action is predicated on the existence of a fraud claim. As AMBF points out, no such claim is alleged against AMBF here.

In opposition, Plaintiffs argue that because the conversion cause of action survives, so too, does Plaintiffs' UCL cause of action. The court disagrees. A party may not oppose a summary judgment based on a claim, theory, or defense that is not alleged in the pleadings. (*California Bank, supra,* 222 Cal.App.4th at p. 637, fn. 3.)

Given the foregoing, the court GRANTS AMBF's motion for summary adjudication of the UCL claim.

Disposition

Defendant AMBF's motion for summary judgment is GRANTED.

The court will prepare the order.

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Calendar Line 2
Calendar line 2
Case Name: *Advoque Safeguard, LLC et al. v. Sanctuary Systems, LLC et al*
Case No.: 21CV392455

Defendants Sanctuary Systems, LLC, Bryan Sigler, and 305 Consulting's motion for judgment on the pleadings

Background[2]

Plaintiffs Advoque Safeguard ("ASG") and Ciasom LLC ("Ciasom"; collectively, "Plaintiffs") manufactured N95 respirators during the COVID-19 pandemic and sued various entities and individuals that were involved in supplying Plaintiffs with mask filtration materials. These entities and individuals include, among others, defendants Sanctuary Systems, LLC, Bryan Sigler, and 305 Consulting (collectively, "Sanctuary Defendants").

The first amended complaint ("FAC") alleges the following causes of action against Sanctuary Defendants: (1) breach of contract; (2) breach of vendor indemnity agreement; (3) breach of implied covenant of good faith and fair dealing; (4) negligence; (5) products liability; (6) express warranty; (7) implied warranty of merchantability; (8) implied warranty of fitness for a particular purpose; (9) intentional misrepresentation; (10) concealment; (11) false promise; (12) negligent misrepresentation ; (13) conversion; (14) intentional interference with contractual relations; (15) intentional interference with prospective economic relations; (16) negligent interference with prospective economic relations; (17) conspiracy; and (18) implied contractual indemnity; and (19) unfair business practices.

On April 14, 2026, the court granted Sanctuary Defendants' motion for summary adjudication of the following causes of action: (1) breach of vendor indemnity agreement (2) negligence; (3) products liability; (4) intentional misrepresentation; (5) concealment; (6) false promise; (7) negligent mis representation; (8) conversion; and (9) unfair business practices. (April 14, 2026 Order, pp. 43:8-12.)

On July 21, 2026, this court granted Sanctuary Defendants' *ex parte* application to advance the hearing on its motion for judgment on the pleadings to August 14, 2026. Plaintiffs filed a timely opposition, and Sanctuary Defendants filed a timely reply.

Motion for Judgment on the Pleadings

Legal Standard

A motion for judgment on the pleadings is proper when the complaint does not state facts sufficient to constitute a cause of action against the defendant. (Code Civ. Proc., § 438, subd. (c)(1)(B)(2).) "The grounds for motion provided in this section shall appear on the face of the challenged pleading or from any mater of which the court is required to take judicial notice." (Code Civ. Proc., § 438, subd. (d).) The motion is the functional equivalent of a general demurrer made after the time to demur has expired and more than 30 days before trial. (See Code Civ. Proc., § 438; see also *Cloud v. Northrop Grumman Corp.* (1998) 67 Cal.App.4th 995, 999; *Shea Homes Limited Partnership v. County of Alameda* (2003) 110

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[2] The court takes judicial notice of the record in this action on its own motion. (Evid. Code, § 452, subd. (d).)

Cal.App.4th 1246, 1254 (*Shea*).) "The court accepts as true all material factual allegations, giving them a liberal construction, but does not consider conclusions of fact or law, opinions, speculation, or allegations contrary to law or judicially noticed facts." (*Shea, supra*, 110 Cal.App.4th at p. 1254.)

Discussion

Sanctuary Defendants move for judgment on the pleadings on Plaintiff's fourteenth cause of action for intentional interference with contractual relations, fifteenth cause of action for intentional interference with prospective economic relations, sixteenth cause of action for negligent interference with prospective economic relations, and seventeenth cause of action for conspiracy on the ground that each fails to state facts sufficient to state a cause of action.

Intentional Interference with Contractual Relations

"The elements which a plaintiff must plead to state the cause of action for intentional interference with contractual relations are (1) a valid contract between plaintiff and a third party; (2) defendant's knowledge of this contract; (3) defendant's intentional acts designed to induce a breach or disruption of the contractual relationship; (4) actual breach or disruption of the contractual relationship; and (5) resulting damage." (*Pacific Gas & Electric Co. v. Bear Stearns & Co.* (1990) 50 Cal.3d 1118, 1126.)

The FAC alleges, "TheDefendants [*sic*] engaged in fraud, misrepresentation and other conduct, which ultimatley [*sic*] prevented performance and/or made performance of the contracts more expensive or difficult." (FAC, ¶ 143.) While a plaintiff need not allege conduct independently wrongful from the interference with the contract itself (*Ixchel Pharma, LLC v. Biogen, Inc.* (2020) 9 Cal.5th 1130, 1141 (*Ixchel*)), Plaintiffs specifically allege fraud as the interfering act. The intentional interference with contractual relations claim is therefore predicated on the fraud claims, which have been summarily adjudicated by the April 14, 2026 Order.

The court GRANTS Sanctuary Defendants' motion for judgment on the pleadings as to the intentional interference with contractual relations cause of action.

Interference with Prospective Economic Relations

The essential elements of a claim for intentional interference with prospective economic advantage are: "'(1) an economic relationship between the plaintiff and some third party, with the probability of future economic benefit to the plaintiff; (2) the defendant's knowledge of the relationship; (3) intentional acts on the part of the defendant designed to disrupt the relationship; (4) actual disruption of the relationship; and (5) economic harm to the plaintiff proximately caused by the acts of the defendant.' [Citations.]" (*Korea Supply Co. v. Lockheed Martin Corp*. (2003) 29 Cal.4th 1134, 1153.) The elements of negligent interference are the same except that the interference must result from negligent rather than intentional conduct. (*Venhaus v. Shultz* (2007) 155 Cal.App.4th 1072, 1078.)

"[A] plaintiff seeking to recover damages for interference with prospective economic advantage must plead as an element of the claim that the defendant's conduct was 'wrongful by some legal measure other than the fact of interference itself.' [Citation.]" (*Ixchel Pharma, LLC v. Biogen, Inc.* (2020) 9 Cal.5th 1130, 1142 (*Ixchel*).) "[W]hile intentionally interfering with an existing contract is generally 'a wrong in and of itself' [citation], intentionally interfering with prospective economic advantage requires pleading that the defendant committed an independently wrongful act [citation]." (*Ibid*.) " '[A]n act is independently wrongful if it is unlawful, that is, if it proscribed by some constitutional, statutory, regulatory, common law, or other determinable legal standard.' [Citation.]" (*Ibid.*) Stated another way, "[t]he defendant's conduct must be independently actionable." (*Gemini Aluminum Corp. v. Cal. Custom Shapes* (2002) 95 Cal.App.4th 1249, 1259.)

The FAC alleges, "Defendants engaged in wrongful conduct through their breaches, negligence, representation, fraud, or violation of statute, which ultimatley [*sic*] interfered with ASG and CIASOM's prospective economic advantage." (FAC, ¶ 152.) The court dismissed Plaintiffs' fraud, unfair business practices, and negligence claims in the April 14, 2026 Order. Accordingly, the only causes of action that support the intentional interference with prospective economic relations claim arise from the breach of contract claims. Such claims, however, do not constitute an "independently wrongful act" for purposes of an interference with prospective economic relations cause of action. (*Drink Tank Ventures LLC v. Real Soda in Real Bottles, Ltd.* (2021) 71 Cal.App.5th 528, 540.)

Plaintiffs cite *Redfearn v. Trader Joe's Co.* (2018) 20 Cal.App.5th 989, 1006 (*Redfearn*)[3] for the proposition that it is unnecessary to allege a standalone fraud causes of action to allege a viable intentional interference with prospective economic relations claim. In *Redfearn*, a broker adequately alleged an interference with prospective economic relations claim based on defamation, despite not pleading defamation as a standalone cause of action. (*Ibid*.) In reaching this decision, the *Redfearn* court noted, "the wrongful interfering act can be independently tortious only as to a third party; it need not be independently wrongful as to the plaintiff." (*Id.* at p. 1006 [citing *Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1163].) It is against this backdrop that the court stated, "it is not necessary to also plead a separate, stand-alone tort cause of action." (*Redfearn, supra,* 20 Cal.App.5th at p. 1006.) In any event, because the allegations included facts supporting the wrongful act of defamation within the meaning of Civil Code section 46, subdivision (3), the broker adequately alleged an intentional interference with prospective economic relations claim. (*Id*. at p. 1007.) *Redfearn*, however, is distinguishable.

Here, unlike in *Redfearn*, Sanctuary Defendants challenge the FAC after having prevailed on a motion for summary adjudication directed to the underlying fraud, unfair business practices, and negligence claims. "It is the plaintiff's burden to plead *and prove* that the defendant's conduct is independently wrongful in order to recover." (*Crown Imports, LLC v. Superior Court* (2014) 223 Cal.App.4th 1395, 1404, emphasis added.) It is unclear to this court how Plaintiffs may prove the underlying fraud as independent wrongful conduct where the fraud claims have already been dismissed for failing to demonstrate justifiable reliance on the motion for summary adjudication. (April 14, 2026 Order, p. 19:13-14; see *Ahn v. Stewart Title Guaranty Co.* (2023) 93 Cal.App.5th 168, 188 ["With Ahn unable to show an antitrust injury, the trial court correctly ruled that he likewise could not demonstrate a triable issue on either economic tort claim."]; see also *Contemporary Services Corp. v. Staff Pro Inc.* (2007) 152 Cal.App.4th 1043, 1060 [striking intentional tort claims that were "entirely based on"

[3] *Redfearn,* was overruled on another ground in *Ixchel, supra,* 9 Cal.5th at p. 1148.

preceding claims that plaintiff failed to demonstrate a probability of prevailing]; *Prostar Wireless Grp., LLC v. Domino's Pizza, Inc.* (N.D.Cal. 2018) 360 F. Supp. 3d 994, 1016 [dismissing intentional interference claim because predicate fraud claim was dismissed].)

The court GRANTS Sanctuary Defendants' motion for judgment on the pleadings as to the intentional interference with prospective economic relations.

Conspiracy

"To allege a conspiracy, a plaintiff must plead '(1) formation and operation of the conspiracy and (2) damage resulting to plaintiff (3) from a wrongful act done in furtherance of the common design.' [Citation.]" (*Daniels v. Select Portfolio Servicing, Inc.* (2016) 246 Cal.App.4th 1150, 1173.) Conclusory allegations of conspiracy will not suffice. (*Id.* at p. 1173.)

"Conspiracy is not a cause of action, but a legal doctrine that imposes liability on persons who, although not actually committing a tort themselves, share with the immediate tortfeasors a common plan or design in its perpetration." (*Applied Equipment Corp. v. Litton Saudi Arabia Ltd.* (1994) 7 Cal.4th 503, 510-511.) "But the conspiracy does not result in tort liability unless an actual tort is committed." (*Kenne v. Stennis* (2014) 230 Cal.App.4th 953, 968.)

The FAC alleges, "Defendants are responsible for the harm incurred by Plaintiffs because the Defendants and each of them were part of a conspiracy to commit said wrongful conduct including the conversion and fraud alleged throughout this Complaint. On information and belief, each of the Defendants agreed to conspire with one another to engage in the acts alleged herein, including, but not limited to, fraud and conversion." (FAC, ¶ 156.)

Sanctuary Defendants argue that because the only remaining tort claims supporting conspiracy claims are the intentional interference claims, Plaintiffs have not alleged sufficient facts to support their conspiracy claims. The argument is well taken considering the court's rulings above.

The court GRANTS Sanctuary Defendants' motion for judgment on the pleadings as to the conspiracy claim.

<u>Disposition</u>

The court GRANTS Sanctuary Defendants' motion for judgment on the pleadings on the fourteenth, fifteenth, and seventeenth causes of action without leave to amend. (See *Shaeffer v. Califia Farms, LLC* (2020) 44 Cal.App.5th 1125, 1145 [permitting leave to amend "only if a potentially effective amendment [is] both apparent and consistent with the plaintiff's theory of the case."]; see also *Goodman v. Kennedy* (1976) 18 Cal.3d 335, 349 [plaintiff has the burden of showing how the complaint may be amended, and how that amendment will change the legal effect of the pleading].)

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Calendar Line 3
Case Name: *Advoque Safeguard, LLC et al. v. Sanctuary Systems, LLC et al*
Case No.: 21CV392455

Defendants Bentham Pourdeyhimi and Leaders in Innovation and Nonwovens Commercialization's motion for judgment on the pleadings.

Background[4]

Plaintiffs Advoque Safeguard ("ASG") and Ciasom LLC ("Ciasom"; collectively, "Plaintiffs") manufactured N95 respirators during the COVID-19 pandemic and sued various entities and individuals that were involved in supplying Plaintiffs with mask filtration materials. These entities and individuals include, among others, defendants Benham Pourdeyhimi ("Pourdeyhimi") and Leaders in Innovation and Nonwovens Commercialization ("LINC"; collectively, "LINC Defendants").

The first amended complaint ("FAC") alleges the following causes of action against LINC Defendants: (1) negligence; (2) products liability; (3) express warranty; (4) implied warranty of merchantability; (5) implied warranty of fitness for a particular purpose; (6) intentional misrepresentation; (7) concealment; (8) false promise; (8) negligent misrepresentation; (9) conversion; (10) intentional interference with contractual relations; (11) intentional interference with prospective economic relations; (12) negligent interference with prospective economic relations; (13) conspiracy; and (14) unfair business practices.

On April 14, 2026, the court granted LINC Defendants' motion for summary adjudication of the following causes of action: (1) negligence; (2) products liability; (3) conversion; (4) intentional interference with contractual relations; (5) negligent interference with prospective economic relations; (6) conspiracy. (April 14, 2026 Order, pp. 43:21-44:3.) The court also granted LINC Defendants' motion for judgment on the pleadings on the following causes of action and granted 20 days' leave to amend: (1) intentional misrepresentation; (2) concealment; (3) false promise; and (4) negligent misrepresentation. (*Ibid*.) Plaintiffs did not file a second amended complaint.

On June 29, 2026, Pourdeyhimi filed the present motion for judgment on the pleadings. That same day, LINC filed a notice of joinder in Pourdeyhimi's motion. The request for joinder is granted. On July 23, 2026, this court granted Pourdeyhimi's *ex parte* application to advance the hearing from February 19, 2027 to August 14, 2026. Plaintiffs filed a timely opposition, and Pourdeyhimi filed a timely reply.

Motion for Judgment on the Pleadings

Legal Standard

A motion for judgment on the pleadings is proper when the complaint does not state facts sufficient to constitute a cause of action against the defendant. (Code Civ. Proc., § 438, subd. (c)(1)(B)(2).) "The grounds for motion provided in this section shall appear on the face of the challenged pleading or from any mater of which the court is required to take judicial notice." (Code Civ. Proc., § 438, subd. (d).) The motion is the functional equivalent of a

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[44] The court takes judicial notice of the record in this action on its own motion. (Evid. Code, § 452, subd. (d).)

general demurrer made after the time to demur has expired and more than 30 days before trial. (See Code Civ. Proc., § 438; see also *Cloud v. Northrop Grumman Corp.* (1998) 67 Cal.App.4th 995, 999; *Shea Homes Limited Partnership v. County of Alameda* (2003) 110 Cal.App.4th 1246, 1254 (*Shea*).) "The court accepts as true all material factual allegations, giving them a liberal construction, but does not consider conclusions of fact or law, opinions, speculation, or allegations contrary to law or judicially noticed facts." (*Shea, supra*, 110 Cal.App.4th at p. 1254.)

Discussion

LINC Defendants move for judgment on the pleadings on Plaintiff's fifteenth cause of action for intentional interference with prospective economic advantage and nineteenth cause of action for Unfair Competition Law on the ground that each fails to state facts sufficient to state a cause of action.

Unfair Competition Law (UCL)

The UCL prohibits and provides civil remedies for, unfair competition, which it defines as "an unlawful, unfair, or fraudulent business act or practice." (*Kwikset Corp. v. Superior Court* (2011) 51 Cal.4th 310, 320 (*Kwikset*) [citing Bus. & Prof. Code § 17200].) These types of prohibited business practices are referred to as the three "prongs" of UCL liability. "Because section 17200 is written in the disjunctive, a business act or practice need only meet one of the three criteria—unlawful, unfair, or fraudulent—to be considered unfair competition under the UCL." (*Buller v. Sutter Health* (2008) 160 Cal.App.4th 981, 986.)

The FAC alleges, "Defendants, and each of them, engaged in conduct likely to deceive general members of the public in how Defendants tested, distributed, manufactured, and sold respirator mask materials. This deception came about through Defendants, and each of them, misrepresenting and/or making fraudulent statements and promises to ASG and CIASOM." (FAC, ¶ 167.) Plaintiffs' UCL claim is therefore predicated on their fraud claims.

As noted above, the court granted LINC Defendants' motion for judgment on the pleadings on the Plaintiffs' fraud claims with leave to amend. (April 14, 2026 Order, pp. 43:21-44:3.) Plaintiffs did not file an amended complaint, and therefore, abandoned those claims. While Plaintiffs claim that they can now amend the FAC to allege additional facts supporting the allegations of fraud, Plaintiffs provide no explanation why they failed to amend the FAC pursuant to the court's April 14, 2026 Order. Plaintiffs also provide no authority permitting another opportunity to amend. In any event, Plaintiffs unpersuasively cite *Boschma v. Home Loan Center, Inc.* (2011) 198 Cal.App.4th 230, 253 for the proposition that any allegation of fraud is sufficient for purposes of alleging UCL. There, the appellate court noted, "Based on our analysis of plaintiffs' common law fraud claim, we conclude plaintiffs have adequately pleaded a section 17200 claim under the unlawful and fraudulent prong." (*Ibid.*) Thus, the *Boschma* court first concluded that the plaintiff adequately alleged a fraud claim before concluding that the UCL was adequately pleaded. (*Ibid.*) Without the predicate fraud claims, plaintiff's UCL cause of action cannot survive the motion for judgment on the pleadings. (*Kwikset, supra,* 51 Cal.4th at p. 320.)

The court GRANTS LINC Defendants' motion for judgment on the pleadings on the nineteenth cause of action for violation of the UCL.

Intentional Interference with Prospective Economic Relations

"[A] plaintiff seeking to recover damages for interference with prospective economic advantage must plead as an element of the claim that the defendant's conduct was 'wrongful by some legal measure other than the fact of interference itself.' [Citation.]" (*Ixchel Pharma, LLC v. Biogen, Inc.* (2020) 9 Cal.5th 1130, 1142 (*Ixchel*).) "[W]hile intentionally interfering with an existing contract is generally 'a wrong in and of itself' [citation], intentionally interfering with prospective economic advantage requires pleading that the defendant committed an independently wrongful act [citation]." (*Ibid*.) " '[A]n act is independently wrongful if it is unlawful, that is, if it proscribed by some constitutional, statutory, regulatory, common law, or other determinable legal standard.' [Citation.]" (*Ibid.*) Stated another way, "[t]he defendant's conduct must be independently actionable." (*Gemini Aluminum Corp. v. Cal. Custom Shapes* (2002) 95 Cal.App.4th 1249, 1259.)

The FAC alleges, "Defendants engaged in wrongful conduct through their breaches, negligence, representation, fraud, or violation of statute, which ultimatley [*sic*] interfered with ASG and CIASOM's prospective economic advantage." (FAC, ¶ 152.) Given the foregoing, the only causes of action that may support an allegation intentional interference with prospective economic relations are for breach of express warranty and breach of implied warranty of merchantability. But "a bare breach of contract, without more, is not tortious, [and] a breach cannot constitute independently wrongful conduct capable of giving rise to the tort of intentional interference with a prospective economic advantage." (*Drink Tank Ventures LLC v. Real Soda in Real Bottles, Ltd.* (2021) 71 Cal.App.5th 528, 540.) Accordingly, the FAC does not adequately allege an independent wrongful act.

Plaintiffs cite *Redfearn v. Trader Joe's Co.* (2018) 20 Cal.App.5th 989, 1006 (*Redfearn*) [5] for the proposition that it is unnecessary to allege a standalone fraud causes of action to allege a viable intentional interference with prospective economic relations claim. In *Redfearn*, a broker adequately alleged an interference with prospective economic relations claim based on defamation, despite not pleading defamation as a standalone cause of action. (*Ibid*.) In reaching this decision, the *Redfearn* court noted, "the wrongful interfering act can be independently tortious only as to a third party; it need not be independently wrongful as to the plaintiff." (*Id.* at p. 1006 [citing *Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1163].) It is against this backdrop that the court stated, "it is not necessary to also plead a separate, stand-alone tort cause of action." (*Redfearn, supra,* 20 Cal.App.5th at p. 1006.) In any event, because the allegations included facts supporting the wrongful act of defamation within the meaning of Civil Code section 46, subdivision (3), the broker adequately alleged an intentional interference with prospective economic relations claim. (*Id*. at p. 1007.) *Redfearn*, however, is distinguishable.

Here, unlike in *Redfearn*, the LINC Defendants challenge the FAC after prevailing on a motion for summary adjudication of the negligence claims. The court also granted the LINC Defendants' motion for judgment on the pleadings as to the fraud claims, which Plaintiffs inexplicably did not amend. The court therefore grants LINC Defendants' present motion for judgment on the pleadings as to the UCL claims. (See *Ahn v. Stewart Title Guaranty Co.* (2023) 93 Cal.App.5th 168, 188 ["With Ahn unable to show an antitrust injury, the trial court correctly ruled that he likewise could not demonstrate a triable issue on either economic

[5] *Redfearn,* was overruled on another ground in *Ixchel, supra,* 9 Cal.5th at p. 1148.

tort claim."]; see also *Contemporary Services Corp. v. Staff Pro Inc.* (2007) 152 Cal.App.4th 1043, 1060 [striking intentional tort claims that were "entirely based on" preceding claims that plaintiff failed to demonstrate a probability of prevailing]; *Prostar Wireless Grp., LLC v. Domino's Pizza, Inc.* (N.D.Cal. 2018) 360 F. Supp. 3d 994, 1016 [dismissing intentional interference claim because predicate fraud claim was dismissed].)

The court GRANTS LINC Defendants' motion for judgment on the pleadings on the fifteenth cause of action for intentional interference with prospective economic relations.

Disposition

The court GRANTS Defendants' motion for judgment on the pleadings on the fifteenth cause of action for intentional interference with prospective economic relations and the nineteenth cause of action for violation of the UCL without leave to amend. (See *Shaeffer v. Califia Farms, LLC* (2020) 44 Cal.App.5th 1125, 1145 [permitting leave to amend "only if a potentially effective amendment [is] both apparent and consistent with the plaintiff's theory of the case."]; see also *Goodman v. Kennedy* (1976) 18 Cal.3d 335, 349 [plaintiff has the burden of showing how the complaint may be amended, and how that amendment will change the legal effect of the pleading].)

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Calendar line 4
Case Name: *White v. Gabriel, et al.*
Case No. 22CV408831

MOTION OF ATTORNEY'S FEES

Before the Court is Defendants Ariana Gabriel and Julia Thompson's Consolidated and Supplemental Motion for Attorneys' Fees After Appeal pursuant to Code of Civil Procedure section 425.16, subdivision (c)(1). Defendants seek a total of $465,883.70 in attorneys' fees, consisting of $247,686.95 for work at the trial court level, $161,880.25 for the anti-SLAPP appeal, $44,726.50 for the attorneys' fees appeal, and $11,590.00 for preparation of the instant motion.

Plaintiff Thomas White opposes the motion on the grounds that Defendants are not prevailing parties, the hours expended are excessive and unreasonable, and the requested hourly rates exceed prevailing Santa Clara County market rates for comparable work.

Having reviewed the moving, opposition, and reply papers, the appellate opinions and remittiturs, and the supporting declarations and exhibits, the Court rules as follows.

I. PROCEDURAL BACKGROUND

On September 13, 2023, this Court granted Defendants Gabriel and Thompson's anti-SLAPP motions in their entirety. On April 9, 2024, the Court awarded Gabriel $284,192.00 and Thompson $69,646.50 in attorneys' fees.

On April 28, 2025, the Court of Appeal, Sixth Appellate District, issued its opinion in case number H051530 ("White I"), reversing in part and remanding with directions to vacate the prior order and enter a new order: (1) denying all defendants' motions to strike the defamation claim arising out of the SSI Slack post and Fountain Hopper publication, and (2) granting defendants' motions to strike the defamation claim arising out of all other activities, communications, and statements.

The remittitur in White I was filed on June 30, 2025.

On February 6, 2026, the Court of Appeal issued its opinion in case number H052203 ("White II"), reversing the attorneys' fees orders and remanding for the trial court to determine Defendants' entitlement to reasonable attorney fees and costs in light of White I.

The remittitur in White II was filed on April 14, 2026.

II. LEGAL STANDARD

A. Mandatory Fee-Shifting Under Section 425.16(c)(1)

Code of Civil Procedure section 425.16, subdivision (c)(1), provides that, except as otherwise specified, "a prevailing defendant on a special motion to strike shall be entitled to recover that